NPTEL Online Certification Courses

Indian Institute of Technology Kharagpur

Foundation Course in Managerial Economics

Assignment- 6

TYPE OF QUESTION: MCQ

Number of questions: 10 **Total mark: 10 X 1 = 10**

QUESTION 1:

Which among the following markets has only one seller for a particular goods/services?

a. Monopsony
b. Monopoly
c. Monopolistic competition
d. Oligopoly

Correct Answer: b
Solution: A monopoly is a firm that is the sole seller of a product/service.

QUESTION 2:

Natural monopoly is a single firm that can produce entire market output at a lower cost than could several firms.

a. True
b. False

Correct Answer: a

Solution: In natural monopoly, a single firm can produce entire market output at a lower cost than could several firms.

QUESTION 3:

A monopoly firm may face …….demand curve.

a. Horizontal
b. Verticle
c. Positively sloping
d. Negatively sloping

Correct Answer: d

Solution: A monopolist's demand curve is the market demand curve and hence negatively sloping.

QUESTION 4:

Which of the following is not the characteristic of monopoly market?

a. Single seller
b. High barrier to entry
c. Availability of close substitutes
d. Price maker

Correct Answer: c

Solution: Other options are the chrateristics of monopoly market.

QUESTION 5:

If vaccine manufacturing industry is monopoly and suppose there is increase in the manufacturing of vaccine, which of the following may happen in the market of vaccines?

a. decrease in price of vaccine and there is no change in number of vaccine sold.
b. decrease in price of vaccines
c. increase in price of vaccines and there is no change in number of vaccines sold.
d. increase in price of vacines and there is decrease in number of vaccines sold.

Correct answer: b

Solution: Since the manufacturer faces the negatively sloping market demand curve, increase in quantity reduces prices

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QUESTION 6:

A monopoly firm maximizes its profit by producing an output of Q=75. At that level of output its marginal revenue is Rs.85, its average revenue is Rs.111 and its average total cost is Rs.65. The firm's profit maximization price is

a. Rs.65
b. Rs.111
c. Rs.85
d. Between Rs.85 to Rs. 111.

Correct Answer: b

Solution: In monopoly, the firm's profit maximization price (P) = average revenue (AR) =111.

QUESTION 7:

A monopolist can sell 150 units of output for Rs.35 per unit. Alternatively, it can sell 151 units of output for Rs.34.90 per unit. What is marginal revenue of 151st unit of the output?

a. Rs. 19.9
b. Rs. 18.8
c. Rs.35
d. Rs.34.9

Correct Answer: a
Solution: marginal revenue of 151st unit of the output = (151*34.9-150*35) = 19.9

QUESTION 8:

Suppose when a monopolist produces 50 units with its average revenue is Rs.8 per unit, its marginal revenue is Rs.5 per unit, its marginal cost is Rs.5 per unit and its average total cost is Rs. 4 per unit. The monopolist is currently maximizing the profit and its total profit is 300.

a. True
b. False

Correct Answer: b

Solution: At profit maximization in monolopoly, P=AR.

Total trevenue=50*8=400

Total cost= 50*4=200

So total pofit= 400-200=200 at profit maximization output of 50 units.

QUESTION 9:

In perfect price discrimination, which of the following is not correct?

a. Monopolist captures all consumer surplus as profit.
b. There is no dead weight loss.
c. Monopolist charges same price to all buyers.
d. Monopoly firm charges each buyer to their willingness to pay (WTP).

Correct Answer: c

Solution: Other options are the characteristics of perfect price discrimination.

QUESTION 10:

A reduction in monopolist's fixed cost would not have have any effect on profit maximizing price or quantity.

a. True
b. False

Correct Answer: a

Solution: Monopolist profit maximization price depends on the quantity produced at MC=MR and not on the fixed cost.

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